

MERIDIAN NATIONAL BANK

Personal Loan Policy 2026

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1. Purpose and Scope

This policy governs unsecured personal loans extended to salaried and self-employed individuals for permitted end uses. Personal loans may not be used for speculative investment, capital market trading or as margin for other credit facilities.

2. Applicant Eligibility

- Minimum age at application: 23 years. Maximum age at maturity: 60 years.
- The applicant must be a resident Indian citizen with a completed KYC record.
- Existing customers with a minimum 6 month relationship receive preferential pricing.

3. Employment Eligibility

The applicant must have at least 2 years of total employment history, of which a minimum of 1 year must be with the current employer or in the current business.

Applicants employed on a contractual or probationary basis are not eligible.

4. Income Criteria

- Minimum net monthly income: INR 30,000 in metro locations and INR 25,000 elsewhere.
- FOIR inclusive of the proposed EMI must not exceed 55 percent of net monthly income.

5. Loan Amount and Tenure

- Minimum loan amount: INR 50,000. Maximum loan amount: INR 40,00,000.
- Maximum tenure: 7 years.
- The maximum sanctioned amount must not exceed 20 times the net monthly income.

6. Required Documents

The following documents are required for a personal loan application:

- Identity proof (PAN card mandatory).
- Address proof.
- Income proof: latest 3 months salary slips, or income tax returns for the last 2 assessment years for self-employed applicants.
- Bank statements for the preceding 6 months.
- Employment proof or business registration certificate.

Property documents are not required for personal loans as the facility is unsecured.

7. Credit Assessment

A minimum credit bureau score of 720 is required for unsecured exposure. No deviation is permitted below a score of 690.

8. Charges and Foreclosure

- Processing fee: up to 2 percent of the sanctioned amount plus applicable taxes.

- Foreclosure is permitted after 12 EMIs at a charge of 4 percent of the outstanding principal.
- Late payment charge: 2 percent per month on the overdue instalment.

9. Human Review

AI assisted eligibility screening is permitted for indicative assessment only. All sanctions and rejections require authorisation by a credit officer.

End of Personal Loan Policy 2026. This document supersedes all prior versions. Queries to be routed to Retail Credit Department.